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Bihar needs to talk about prohibition, addiction

IN 2016, months after the Nitish Kumar-led NDA government began its third term in Bihar, the Bihar Prohibition and Excise Act came into effect. The political logic behind the law banning and criminalising the consumption of alcohol was plain enough. In his first two terms, Nitish Kumar had built up considerable support among women by addressing what many saw as a broken law-and-order system. Schemes like the Mukhyamantri Cycle Yojana gave women greater mobility and independence. Addiction, in its worst forms, takes a toll not merely on the addict but also on their family and the broader community. Banning alcohol was part of addressing the concerns of women voters. Prohibition, however, is not the silver bullet it was made out to be — its failures are well documented across countries and other Indian states. Now, as an investigation in this newspaper shows, the substance abuse problem in Bihar has taken new forms and has reached alarming proportions. For Chief Minister Samrat Choudhary, the first to hold the office from the BJP, the growing use of narcotics is both a policy and political challenge.

The figures for arrests under the National Drugs and Psychotropic Substances (NDPS) Act, seizures of synthetic drugs, and the growing numbers at the all-too-few de-addiction centres in the state, taken together, paint a disturbing picture. In the first five months of this year, 1,905 cases were registered under the Act. In 2019, this number was 697. "Tablets" seized have also seen an exponential rise — from 29,762 in 2022 to 9.29 lakh in the first five months of this year. These range from opioids and sedatives to psychotropic drugs. Hard, synthetic drugs like heroin, brown sugar and new varieties of these like "kota" follow a similar trajectory. The spread is also geographic. Behind each statistic is a tragedy, tales of families torn apart and a rehabilitation system pushed to the brink. The story of narcotics substance abuse — which often traps the young, particularly young men, in addiction — is unfolding alongside the illegal liquor market. In the 10 years since prohibition was introduced, it has led to an average of 196 arrests a day.

On the law-and-order front, the state government has acted: It has a Special Task Force on narcotics and the Prohibition and State Narcotics Control Bureau, set up in 2025, has been merged with the police's prohibition wing. But, as Kundan Krishnan, director general of Bihar Police's Special Branch and Operations, told this newspaper: "... mere police action will not suffice in the present situation... Only a community effort backed by the state government can contain the growing menace." The Choudhary government has its task cut out. It must address the social and psychological disease of addiction, taking society along with it. Mere prohibition and criminalisation, as the experience of the last decade shows, can make matters worse.

The problem is inflation's second-round effects

THE RBI's October monetary policy had a distinctively hawkish tone. The MPC had noted that inflation and its outlook were not benign. There were signs of price pressures becoming generalised and symptoms of elevated inflation expectations. Accordingly, the committee had voted to raise interest rates and change the policy stance to calibrated tightening. But while the decision to raise interest rates was unanimous, two members voted against the change in policy stance, preferring to retain a neutral posture. The recently released minutes of the meeting shed light on the differences of opinion among the committee members.

One issue is whether inflation is getting generalised in the economy. This could have a bearing on the extent of policy tightening. MPC member Nagesh Kumar, for instance, argued that "inflation is driven largely by supply-side factors and does not show any signs of overheating of the economy nor of generalisation". In contrast, there are fears that price pressures will spread further through the economy and, in turn, feed into higher inflation expectations. Committee member Saugata Bhattacharya cautioned that "data increasingly suggests that price pressures are getting entrenched into the economic system". RBI Governor Sanjay Malhotra seemed to concur with this view, saying that "there are increasing signs of generalisation of inflation as 37 per cent of the commodities in the CPI basket had inflation above 4 per cent in August — it was merely 20 per cent in March". The central bank's household inflation expectation surveys also show that the three-month ahead inflation expectations have jumped 70 basis points to 9.9 per cent.

Price pressures are likely to intensify. Global food prices, which were relatively soft compared to energy and metals, are now hardening. This could gather further momentum with El Niño strengthening and possibly impacting rabi crops in India. Energy prices are also elevated — Brent crude oil is trading at around $115 per barrel. So far, the central bank has noted that there "are only limited signs of supply-side pressures getting embedded in pricing behaviour". Going forward, the extent of policy tightening will depend on how committee members assess supply-side pressures across the economy, whether second-round effects take hold, and how growth-inflation dynamics evolve.

On IT, India had early advantage. It hasn't caught up with AI era



MANOJ PANT



M RAHUL

ON JUNE 12, Anthropic suspended access to its frontier models, Claude Fable 5 and Claude Mythos 5, to comply with export controls imposed by the US Department of Commerce. In less than three weeks, the controls were lifted, but the episode left a message. Frontier Artificial Intelligence (AI) will now be treated much like nuclear technology: The power to turn access on or off lies with the countries building these models.

The US and China have frontier models of their own. India does not.

As a global hub for IT services and with one of the world's largest pools of software talent, India had an early advantage. Yet it did not prepare adequately for the AI era. India's low R&D spending, around 0.84 per cent of GDP in FY24, has not provided the foundation from which frontier AI could grow. The comparable figures were 2.6 per cent in China and 3.4 per cent in the US.

In the IT services era, this mattered less, as Indian firms prospered by customising and maintaining software built in advanced countries.

In the AI era, this model may no longer be sustainable as AI can now write, test and maintain code on its own. It strikes at the very labour advantage on which India built its services exports.

The IT sector has remained resilient so far, with global capability centres booming. A survey of 651 IT firms across 10 Indian cities by the Indian Council for Research on International Economic Relations (ICRIER), conducted between November 2025 and January 2026, found that 55 per cent of firms reported a decline in entry-level employment, while 35 per cent reported an increase. Senior-level employment remained largely stable. Nomura's analysis of company announcements tells a similar story: AI-linked hiring in India still exceeds layoffs, but job losses are concentrated in support and entry-level roles.

The IndiaAI Mission was launched in 2024 to develop the country's AI ecosystem. Its five-year budget is around $1.2 billion and its shared compute infrastructure has expanded to over 45,000 GPUs available at subsidised rates for Indian start-ups and researchers. This is a welcome start, albeit a small one for building home-grown frontier models.

The scale of the challenge becomes apparent when compared with projected annual training and inference costs of $45.8 billion for OpenAI and $19 billion for Anthropic in 2026. While these are not directly comparable to a public mission's budget, they illustrate the vastly different resources available to India's AI ecosystem and the firms developing frontier models.

The challenge, however, is not simply to spend more, as China's experience suggests, but to develop a research and innovation ecosystem that can support home-grown models.

> While data centres are essential both for training domestic AI models and for data sovereignty, the net economic benefits may be minimal if the models running on them are foreign-owned

Yet, the focus now seems to have shifted to attracting data centres. While data centres are essential both for training domestic AI models and for data sovereignty, the net economic benefits may be minimal if the models running on them are foreign-owned. The hardware is imported, and most jobs are during construction. The Centre offers eligible foreign cloud-service providers using India-based data centres for global operations a tax holiday until 2047, while states compete with cheap land, water and electricity. The government estimates that AI data centres will add around 26.3 GW of demand by FY32, planned to be met mostly by renewables.

Generating enough renewable energy annually is feasible. The real issue is that data centres require round-the-clock electricity, which intermittent renewables cannot reliably provide without costly storage or other sources of firm power. This raises the cost of electricity supplied to data centres from the grid. Until sufficient storage and other sources of firm power are available, the nighttime gap may be partly filled by coal, while the cost of ensuring reliable supply may fall on already stretched grids and, eventually, other consumers.

Hosting data centres without a presence elsewhere in the AI value chain risks locking India into the lowest-value-added link. The semiconductor push is unlikely to change this soon.

Of the 12 semiconductor facilities approved, nine assemble, test and package pre-fabricated chips. This is a first step and has real strategic value in semiconductor supply chains. However, none of the approved facilities produces leading-edge AI chips. That would require a generational leap in manufacturing capabilities.

One way India could benefit from the "landlord role" it has chosen to follow is by ensuring compute-access guarantees, sovereign cloud capacity and local linkages in hardware and services in exchange for state support, so that investment in infrastructure also builds domestic capabilities. This would ensure an Indian presence at different points in the AI value chain. India must adopt a calibrated approach that secures such commitments from investors while maintaining a favourable investment climate.

A landlord who charges no rent is simply subsidising the tenant.

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UN needs a chief who can restore its moral authority



SYED MUNIR KHASRU

SWEDISH ECONOMIST and diplomat Dag Hammarskjöld, who became the youngest UN secretary-general (UNSG) in 1953 at 47, boarded a plane for Ndola, in present-day Zambia, to negotiate an end to the fighting in Congo. His plane crashed on September 17, 1961. Hammarskjöld's death immortalised a vision of the UNSG: Not a ceremonial custodian of an imperfect institution, but an independent diplomat willing to place moral authority, even at the expense of his own life, between nations and war. More than six decades later, as the UN prepares to choose its 10th chief, that vision has rarely been more necessary or more endangered.

The world experienced 65 state-based conflicts across 35 countries in 2025, the highest since 1946. Meanwhile, AI is transforming security and economic power faster than governments can establish safeguards, climate commitments remain dangerously inadequate, and the UN is constrained by institutions designed for 1945. Choosing António Guterres's successor is not another diplomatic rotation; it is a decision about whether the UN will continue managing the consequences of global disorder or begin confronting its causes.

From accelerating scientific discovery to improving public services, AI's benefits could be enormous. The same technology can produce disinformation, automate cyberattacks, intensify surveillance and reduce human control over military decisions. The UN has created a 40-member Independent International Scientific Panel on AI. A scientific body, however, cannot substitute for political rules. The next UNSG should pursue a narrow but enforceable global baseline: Mandatory safety evaluations for high-risk systems, disclosure of serious AI incidents, reliable identification of synthetic media and meaningful human control over decisions involving lethal force.

The next UNSG cannot compel governments to reduce emissions but can expose the distance between rhetoric and action through country-level assessments of emissions, adaptation and financing. High-level climate meetings should become implementation reviews rather than recurring stages for recycled pledges. Developing countries may need between $310 and 365 billion annually for adaptation by 2035. International public adaptation finance reached only $26 billion in 2023. Climate finance is partial restitution for a crisis they did not create.

> Choosing Guterres's successor is about whether the UN will continue managing the consequences of global disorder or begin confronting its causes

Modern conflicts are increasingly internationalised, technologically enabled and entangled with rival great powers. A permanent UN mediation corps should be established, drawing on diplomats, regional specialists, ceasefire negotiators and experts in humanitarian access. It should deploy when tensions begin rising. The UNSC still reserves permanent membership and veto power for five states reflecting the settlement of World War II. Africa's 54 countries constitute approximately 28 per cent of UN membership, yet the continent has no permanent seat. Such exclusion weakens the legitimacy of the UN's decisions.

Hammarskjöld's final journey embodied the belief that diplomacy must sometimes venture toward danger rather than wait for catastrophe to arrive. The next UNSG need not imitate his sacrifice. But the office must recover his sense of purpose.

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